

ACRE Lends \$351M on Harbor Group's Suburban Multifamily Refi

\$351 m

Debt / financing

On May 27, ACRE closed a \$351 million loan facility for a joint venture of Harbor Group International, the Garrett Companies, and Telis Group. The capital refinances eight newly...

The clean read

- On May 27, ACRE closed a \$351 million loan facility for a joint venture of Harbor Group...
- Colorado Springs, Greenwood, and Glendale fit that thesis: growing Sun Belt and Mountain...
- ACRE, a New York-based lender, has been active in the multifamily space, but this deal...

The numbers tell the story

\$351 m

Debt / financing

\$30 b

Debt / financing

572 units

Portfolio scale

This is a capital stack story

Its capital markets team included Aaron Appel, Jonathan Schwartz, Keith Kurland, Adam Schwartz, Dustin Stolly, Sean Reimer, Michael Ianno, Nicholas Gillhooley, Craig West, Kevin...

- Occupancy below 60 percent at several properties means the portfolio is still absorbing lease-up...
- Remote and hybrid work patterns drove renters from urban cores to lower-density markets with...

Who is moving the market

- On May: central to the transaction.
- Harbor Group: central to the transaction.
- Telis Group. The: central to the transaction.

Where the deal can break

- The capital refinances eight newly built suburban multifamily assets totaling 1,572 units...
- The Garrett Companies and Telis Group are its development partners on this 11-asset portfolio...
- The eight properties in this refinancing were delivered between 2024 and 2026.

What lenders and investors notice

\$30 b

Debt / financing

572 units

Portfolio scale

158 units

Portfolio scale

The broader implication

Occupancy below 60 percent at several properties means the portfolio is still absorbing lease-up risk.

- Remote and hybrid work patterns drove renters from urban cores to lower-density markets with...
- ACRE's willingness to lend \$351 million on suburban multifamily signals confidence in the asset...

Leasing velocity at the 50-percent-occupied properties will be the metric to watch.

The headline is the transaction. The story is the structure.

If the capital stack works, the deal becomes a signal. If it does not, it becomes a warning.

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